

Topic: (Chapter #3)

Finance & Accounting

Q. What is capital?

⇒ Capital refers to money or other assets that can be invested to generate income or profit.

⇒ This includes:

- Stocks
- Cash
- Real estate - land & buildings
- Bonds
- Commodities - natural resources or agricultural products.

Q. Why capital is needed?

⇒ To start any commercial venture without having some money in hand is very difficult, bcz customers will not be willing to pay until you have provided them with the service or the product they are buying.

⇒ for the following reasons:

1. Start-up Costs: → New business require capital

- Costs of advertising and marketing the products
- ^{Purchasing} Equipment and consumables
- interest on ^{any} money borrowed.
- Rent, rates, heating and lighting of the premises used.
- Salaries need for employees
- Developing products or services

2. Expansion:

⇒ Established businesses need capital to:

- Open new location
- increase production capacity
- Develop new product lines
- Acquire other businesses

3. Investment in Growth:

⇒ Capital can be used to invest in technology, research and development or marketing to improve efficiency, develop new products & increase market share

4. Miscellaneous expenses:

⇒ Costs that are not easily categorized into specific budget categories

ex: Travel expenses, gifts & donations, pens, paper etc.

Q. What do you mean by business plan?

- ⇒ Business plan is the first step to raise money.
- ⇒ Business plan is a written document from 25 to 30 pages long that outlines the company goals and financial projections of a business.
- ⇒ it serves as road map for the company's future, guiding decision-making and attracting potential investors.
- ⇒ it is dual-purpose document that used inside and outside of company.
- ⇒ A typical business plan includes:
 - Executive Summary
 - Company description
 - Market analysis
 - Organizational plan
 - Service or product description
 - marketing and sales strategy
 - Financial projections
 - funding requests

Q. Sources of finance:-

- ⇒ There are many possible sources of funding:
 - Grants
 - Loans
 - Equity capital

1: Grants

- ⇒ are free money given to individuals or company for specific purposes.
- ⇒ Not need to be paid back to the organization which gave it.
- ⇒ Typically provided by:
 - Government (local or national)
 - EU sources
 - very occasionally from charities
- ⇒ Company is obliged to demonstrate that it has been used for the purposes for which it was given.

Common types of grant include:

- Research grants
- Education grants
- Business grants

2: Loans

⇒ A loan is a sum of money borrowed by company, with the agreement to repay it, usually with interest, over a fixed period of time.

⇒ Loans are typically provided by banks or similar institutions.

⇒ can be borrowed from friends or relatives.

⇒ The company agrees that if it fails to make repayments/paid back, the lender is entitled to sell some of the company assets in order to make up for the short fall. Security is needed.

⇒ Sometimes small companies don't have sufficient assets to cover the loan. Then, lender may ask for personal guarantee from the directors of the company, means directors should have to use their own homes or other property as security for the loan.

Types of loans:

- 1) Overdraft
- 2) Long-term loans

Overdraft:

⇒ flexible and short-term loans.

- Allows company to spend more money than is in its account, up to a specified maximum or certain limit.

- Overdrafts are offered by the banks.

- Bank charge fees for overdrafts.

- Some banks may charge interest on overdraft balances.

- Overdraft balances are typically repaid through next paycheck or deposit.

Long-term Loans:

⇒ usually made for a fixed period at a fixed rate of interest.

⇒ The borrower receives the capital (amount of the loan) at the start of the period of loan and is committed to paying interest on that amount throughout the period of the loan.

⇒ The borrower must repay the capital at the end of the period.

Soft loans:

Loans have more favorable terms than traditional loans, such as lower

interest rates, longer repayment periods or more flexible repayment schedules.

Often offered by:

- Govt agencies
- Non-profit organizations
- International financial institutions

⇒ Security is not demanded for these types of loans.

⇒ Soft loans are usually only available to start-up companies.

3: Equity Capital

⇒ Money paid to the company in exchange for a share in the ownership of the company.

⇒ Selling ownership shares in a company to investors.

⇒ These investors, known as shareholders, become part-owners of the company and have a claim on its profits.

⇒ Equity capital can be raised in several ways:

- From friends and family
- Venture capitalists

↳ Investors provide funding to early-stage companies with high growth potential.

• Angel investors:

↳ Individuals who are wealthy and interested in investing early stage companies and small firms that are seeking to grow rapidly.

↳ Usually interested in investing in firms operating in areas of which they have experience.

• Initial public offering: Company sells shares to the public for the first time.

What is Gearing?

⇒ Relationship between loan capital and equity capital in a company is important. It is known as gearing or leverage.

⇒ Ratio of a company debt to its equity.

A high gearing ratio: indicates that a company is heavily financed by debt.

A low gearing ratio: indicates that a company is primarily financed by equity.

Define finance?

⇒ Management of money and includes activities like investing, borrowing, lending, budgeting, saving and forecasting.

⇒ it is the study of how money is created, distributed and managed.

⇒ Types of finance:

- Personal
- Corporate
- Public

Long-term finance VS short-term finance:

<u>Long-term</u>	<u>Short-term</u>
Time horizon: more than a year	Less than a year.
Purpose: Funding major investments	meeting immediate financial needs
Risk: Generally higher	Generally lower
Cost: High	Low

Accounting

Q. Annual Business Report:

⇒ The annual report contains information about the company and its activities during the preceding year.

⇒ Comprehensive document that public corporation must provide their share holders.

⇒ it contains information about company financial health so that those who are considering dealing with the company can judge whether it is likely to meet its obligations.

Key components of Annual Reports

1. Balance sheet
2. Profit and loss account / income statement
3. The cash flow statement

⇒ Collectively known as financial statements. Together they provide a picture of the overall financial health of the business.

Balance sheet

⇒ The purpose of balance sheet is to show:

- What the company owns. (Assets)
 - What the company owes. (Liabilities)
- at a specific point in time, normally at the end of the last day of the company financial year.

⇒ ex: Balance sheet for a student
As at 31 October 2024

Asset	2004	2003
Cash in hand	25	40
Cash at bank	361	220
Pre-paid accommodation	300	200
Debts owed by friends	18	0
Computer	400	600
CD Player	160	180
Total assets	1,264	1,240
Liabilities		
Credit card bill	174	64
Student loans	4,800	1,900
Total liabilities	4,974	1,964
Net worth	(3,710)	(724)

Commercial balance sheet

⇒ Commercial balance sheets are prepared by grouping assets and liabilities into various categories and a single figure is given for each category.

2- Profit and Loss Account

⇒ The profit and loss account shows how much money has been received and how much money has been spent in a given period - usually the organization financial year (fiscal year) - June.

⇒ Non-profit-making organizations is usually called income and expenditure account.

⇒ Reveals the company's revenues, expenses and net income or loss for a particular period.

3- Cash flow Statement

⇒ Link between balance sheet and profit and loss account.

⇒ Shows what comes in and comes out (cash).

Assets

⇒ Things that business/organization owns with the expectation that they will provide a future benefit.

⇒ Things of value that can be used to generate income, reduce expenses or improve the overall financial position.

Tangible Assets:

⇒ Physical assets that can be touched, such as:

- Cash
- Inventory
- Equipment
- Property
- Vehicles

Intangible Assets:

⇒ Non-Physical assets that have value but cannot be touched, such as:

- Patents
- Copyrights
- Trademarks
- Goodwill
- Intellectual property

Current Assets:

⇒ Assets that are purchased and expected to be sold or consumed within one year.

⇒ Not-used for longer period of time.

ex:

- Cash and cash equivalents
- A/c Rec.
- Inventory
- Prepaid expenses

⇒ Expected to be converted into cash within a short period.

⇒ Highly liquid.

Fixed Assets:

⇒ Assets that are not expected to be sold and tangible, company uses in its operations for more than accounting period.

⇒ Provide long-term benefits.

ex:

- Land
- Buildings
- Equipment
- Vehicles
- Fixtures & fittings

Liabilities:

⇒ Debts or obligations that a company owes to others.

⇒ Claims of outsiders against a company's assets.

⇒ Arises these claims from:

- Borrowing money
- Purchasing goods
- Services on credit

Income:

⇒ Total revenue generated by a business from its primary operations.
it includes sales, service fees, interest income, etc.

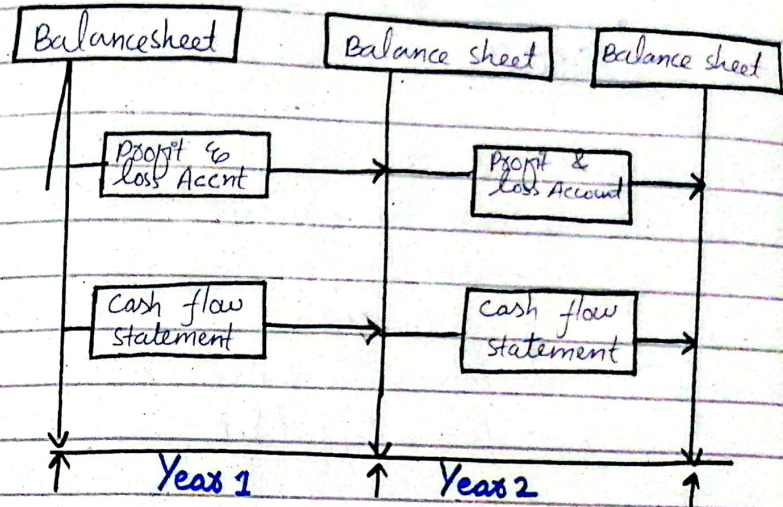
Profit:

⇒ Profit is the amount of income remaining after all expenses have been deducted.

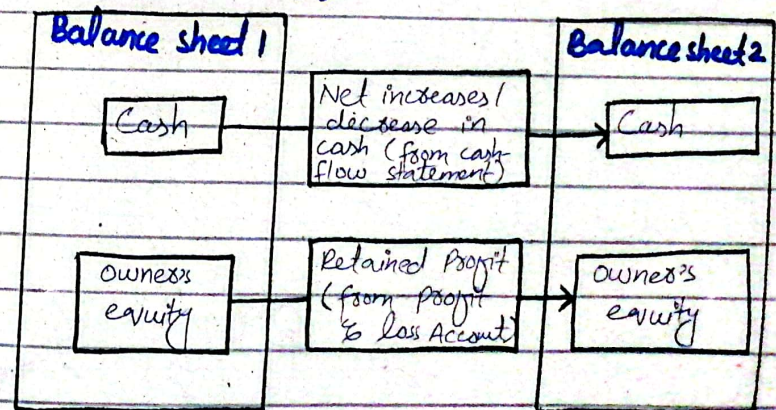
Gross profit:

- Revenue - cost of goods sold

Relationship b/w financial statements



How cash flow statement and Profit & Loss account affect the items in the BS:



(Continue)

Chapter #3 (Remaining Topics)

Budgeting & monitoring

Budgeting

- Budgeting is an ~~iterative~~ ^{iterative} process means not always at average line. First version of budget is likely to show
- A budget is a financial plan showing ^{expenditure} ^{income} the expected income and expenditure for an organization over a specific period, typically one year. Used as basis for monitoring the organization performance.
- Prediction of the future financial position of an organization.

Monitoring

- Monitoring involves tracking actual income and expenses against the budgeted amounts and analyze variances.
- it identifies areas where adjustments may be needed and provides valuable insights for future planning.

Profiled budget:

Show monthly income or expenditure. At the end of each month, the management then compares what has actually happened

during the month with what was planned in the budget.

Sales and order-intake

Sales:

- Refers to the process of persuading potential clients to purchase a product or service.
- it involves identifying customer needs, presenting solutions, addressing objections and closing the deal.

Order-intake:

- Process of receiving, processing and fulfilling clients orders.
- Ensuring that all necessary information is collected.

Relationship between sales and order intake:

- Effective sales $\uparrow$ order intake
- Intake order fulfillment $\rightarrow$ sales $\uparrow$

$\Rightarrow$ A company's cost, its pricing and the level of overheads that it can afford

all depends on the level of sales.

Overhead Expense:

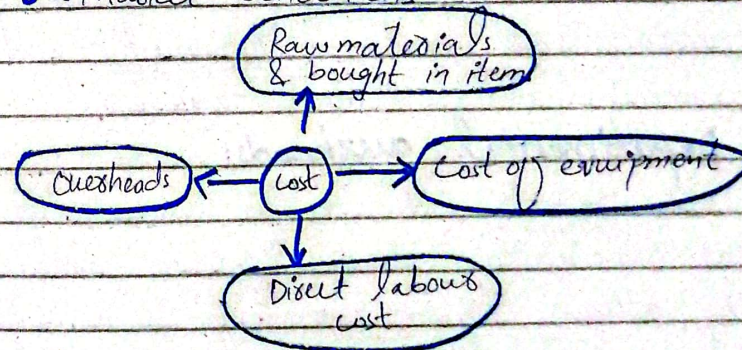
$\Rightarrow$ Also called indirect manufacturing costs and factory.

$\Rightarrow$ Overhead encompass three general kinds of costs:

- For indirect materials
- Indirect labor
- All other expenses such as taxes, insurance, advertising, depreciation, supplies, utilities and repairs.

Costing:

- The price at which an organization decides to sell a product or service depends on
- The cost of producing and providing it
- Market conditions



Raw materials:

Materials which are bought by a company and processed as part of the company's manufacturing are called raw materials.

Bought-in items:

Those items that are bought by a company and incorporated into their products, as it is.

Cost of equipment:

How much the company paid for the equipment?

Cost of labour:

Sum of all wages paid to employees.

Overheads:

are the costs that cannot be directly associated with specific products or services but must still be covered by the total revenue.

Departmental overheads:

Associated with specific parts of the organization and should be covered by those parts revenue earned.

Pricing:

Pricing is the method of determining the value a producer will get in the exchange of goods and services.

Pricing method is used to set the price of producer's offerings relevant to both the producer and the customer.

Software Companies are typically faced with pricing in three contexts.

Pricing a bid to provide services, such as consultancy, design or programming, with payment based on effort supplied.

Pricing a bid for a contract to supply bespoke software at a fixed price.

Capital & its Maintenance

The capital of a company is usually taken as guarantee that the company will be able to meet its obligations.

- A leader also takes into account a company's capital, when deciding whether or not to give a loan.

⇒ To maintain Capital:

- A Company is not allowed to issue shares at a discounted value.
- A Company cannot pay back to the shareholders any of the original contributions.

Auditing

- Financial auditing is the process of examining an organization's financial records to determine if they are accurate and in accordance with any applicable rules, regulations and laws.
- The company accounts should be accompanied by an auditor's report.
- Purpose of the report is to provide an assurance that accounts give a "true and fair view" of the state of the affairs of the company.

Working capital:

- working capital = current assets - current liabilities of company.

Assessing investment proposals

- An investment proposal is a document outlining a potential investment opportunity.
- it typically includes:
 - investment summary
 - investment objectives
 - investment strategy
 - Risk Assessment
 - Financial projections